

# **GLOBALIZATION**

Globalization is a process that has occurred throughout time, ever since the first communities on Earth began interacting with one another. It is the process of integration and interdependencies among different nations, communities and civilizations. These days, it's hard to imagine a world without globalization. Thanks to modern technology and transportation, the world is a global village.

What happens in the stock market in China can be felt the next day in the United States, and a new television hit in the United Kingdom can create hardcore fans in the Middle East. Similarly, the effects of forest fires on one end of the planet can affect air pollution on the opposite end, and war in one country can cause mass immigration to its neighbors. This shows that every country is connected to another one.

## **Types Of Globalization:**

### **Political Globalization**

Political cooperation between different countries is a form of globalization that is used to prevent and manage conflict. For example, global organizations such as the United Nations and the World Trade Organization were created to diffuse political issues and maintain order on an international scale. Intergovernmental entities help nations to develop common laws and policies and discuss immigration issues. Political globalization is also a way for countries to work toward aspects that affect everyone, such as climate change.

### **Economic Globalization**

The economies of nations are interconnected through the exchange of resources, products and money. As a result, there isn't a country today that operates on its own in isolation. Countries that are rich in natural resources, such as oil for example, sell it to other countries for money or in exchange for other materials, such as lumber. Similarly, countries across the globe sell crops and food to other nations that lack them, which helps their own economies in addition to those of other countries. As a result, when an economy crashes, it affects other economies around the globe because they are closely interconnected. The banking crisis in the United States in 2007 led to a global financial crisis that affected other countries including Canada and China.

### **Social and Cultural Globalization**

This kind of globalization includes the sharing of ideas, knowledge and cultural norms between nations. Examples include the popularization of books, movies and shows across the world, such as the "Harry Potter" or "Twilight" series, which were globally recognizable. Social and cultural globalization tends to flow in one direction, unlike

other forms of globalization. Developed countries such as the United States, United Kingdom and Canada share cultural information with less-developed countries, rather than the other way around. As a result, this kind of globalization has been said to erode cultural differences that make nations unique.

## Technological Globalization

This kind of relationship between nations is as a result of the infrastructure in place for television, radio, telephones and the internet. Traditionally, technological globalization used to be only available to the upper classes that had access to them. Now, there are many people in developing countries who have access to cell phones and the internet, making it easier for them to connect to people in other countries around the world. Technological globalization makes it possible for countries to connect in other ways, such as financially through sending loved ones money across the globe or culturally by watching movies from other nations.

## Other Forms of Globalization

There are other types of globalization, including the globalization of information. This is the concept that knowledge is shared among nations and groups of people for the betterment of the world. Ecological globalization is the idea that the Earth is a single ecosystem rather than a group of separate ecosystems. As a result, there are international organizations and agreements that deal with issues like climate change, biodiversity and wildlife preservation on a global scale, spanning several countries.

**Globalization** is the word used to describe the growing interdependence of the world's economies, cultures, and populations, brought about by cross-border trade in goods and services, technology, and flows of investment, people, and information. Countries have built economic partnerships to facilitate these movements over many centuries. But the term gained popularity after the Cold War in the early 1990s, as these cooperative arrangements shaped modern everyday life. **This guide uses the term more narrowly to refer to international trade and some of the investment flows among advanced economies, mostly focusing on the United States.**

The wide-ranging effects of globalization are complex and politically charged. As with major technological advances, globalization benefits society as a whole, while harming certain groups. Understanding the relative costs and benefits can pave the way for alleviating problems while sustaining the wider payoffs.

## GLOBALIZATION AS A TOOL FOR PROSPERITY AND PEACE

After World War II, the United States helped build a global economic order governed by mutually accepted rules and overseen by multilateral institutions. The idea was to create a better world with countries seeking to cooperate with one another to promote

prosperity and peace. Free trade and the rule of law were **mainstays of the system**, helping to prevent most economic disputes from escalating into larger conflicts. The institutions established include:

|                                                                                                      |                                                                                                       |                                                                                                                       |                                                                                                                                                                                                                                                 |                                                                                     |
|------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------|
|                     |                      |                                      |                                                                                                                                                              |  |
| <b>IMF</b><br>International<br>Monetary Fund                                                         | <b>UN</b><br>United Nations                                                                           | <b>World<br/>Bank</b>                                                                                                 | <b>WTO</b><br>World Trade Organization                                                                                                                                                                                                          | <b>NATO</b><br>North Atlantic<br>Treaty Organization                                |
| Established 1944<br>189 member countries                                                             | Established 1945<br>193 member countries                                                              | Established 1945<br>189 member countries                                                                              | Established 1948, as the<br>General Agreement on Tariffs<br>and Trade (GATT)<br>Replaced 1995, by the WTO<br>164 member countries                                                                                                               | Established 1949<br>29 member countries                                             |
| Works to stabilize the system<br>and help countries facing<br>balance of payment and debt<br>crises. | Seeks to prevent conflict with<br>global security norms and<br>assistance for humanitarian<br>crises. | Founded to help reconstruct<br>postwar Europe, it now<br>provides loans and policy<br>advice to developing countries. | Sets rules for international<br>trade and adjudicates trade<br>disputes. Member countries<br>agree to WTO rules, but can<br>also negotiate free trade<br>agreements with each other.<br>The United States has trade<br>deals with 20 countries. | Bulwark of Western security<br>alliance.                                            |

## EFFECTS OF GLOBALIZATION:

### The Effects of Globalization on Global Communication

Connecting with people on the other side of the world is now much easier than it was a few years ago. Satellites, fiber-optic cables and the internet make it effortless to share information with those in different time zones and locations. **Global communication is directly affected by the process of globalization, and helps to increase business opportunities, remove cultural barriers and develop a global village.** Both globalization and global communication have changed the environmental, cultural, political and economic elements of the world.

#### Increased Business Opportunities

**Many companies today hire employees that are located in other countries.** Using communication vehicles such as video calling make it simple to converse with colleagues across the globe, almost making it feel as if they are in the same room. Technology also makes it easier to connect with suppliers and customers all over the world, and to streamline those relationship through improves ordering, shipment tracking and so on. With this kind of communication technology, many businesses are able to take advantage of opportunities in different countries or cities, improving the economic outlook on a global level.

Thanks to global communications, information itself can be transferred as a valuable business asset from one country to another. This has the effect of making everyone's operations more modern and efficient, regardless where they are located.

## Fewer Cultural Barriers

Many people perceive culture to be the root of communication challenges. When people from two different cultures try to exchange information, the way they speak, their body language or their mannerisms can be interpreted differently by the other person. The way people approach problems and how they participate in communities is all influenced by culture.

Globalization has made it possible, for example, for someone in Japan to understand how someone in the U.S. goes about their day. With television and movies, cultural barriers are becoming less prevalent. Being able to communicate effectively and frequently with colleagues or friends across the planet helps people understand each other's cultures a little better.

## Creation of a Global Village

You've likely heard of the phrase "global village," coined by theorist Marshall McLuhan. Affected both by globalization and global communication, the global village is created when distance and isolation no longer matter because people are connected by technology. Wide-spread telephone and internet access have been life-changing for many people across the world, especially those in developing countries. Many are now enrolling in universities across the world without having to leave their desk chair. Virtual assistant jobs are becoming commonplace, where employees from developing countries work with companies in North America or Europe, providing administrative support and other business services that can easily be conducted over the phone or via the internet.

Globalization and global communication have made it easier to see people on the other side of the world as a neighbor, instead of a stranger from a faraway land. There is so much knowledge about other countries and cultures available online, that it's no longer a complete mystery.

## MORE GOODS AT LOWER PRICES

Globalization encourages each country to specialize in what it produces best using the least amount of resources, known as *comparative advantage*. This concept makes production more efficient, promotes economic growth, and lowers prices of goods and services, making them more affordable especially for lower-income households.

## SCALED UP BUSINESSES

Larger markets enable companies to reach more customers and get a higher return on the fixed costs of doing business, like building factories or conducting research. Technology firms have taken special advantage of their innovations this way.

## **BETTER QUALITY AND VARIETY**

Competition from abroad drives US firms to improve their products. Consumers have better products and more choices as a result.

## **INNOVATION**

Expanded trade spurs the spread of technology, innovation, and the communication of ideas. The best ideas from market leaders spread more easily.

## **JOB CHURN**

Globalization supports new job opportunities but also contributes to job displacement. It does not significantly change the total number of positions in the economy, as job numbers are primarily driven by business cycles and Federal Reserve and fiscal policies. Nevertheless, a [Peterson Institute study](#) finds 156,250 US jobs were lost on net each year between 2001 and 2016 from expanded trade in manufactured goods, which represents less than 1 percent of the workers laid off in a typical year.<sup>1</sup> Low-wage workers in certain regions are most affected. Many of them also face lower earnings or have dropped out of the workforce. Bigger factors than trade driving job displacements are labor-saving technologies, like automated machines and artificial intelligence. Better-paying positions have opened up in manufactured exports—especially in high-tech areas, such as computers, chemicals, and transportation equipment—and other high-skill work, notably in business services, such as finance and real estate (see Jobs section).

## **DECLINE IN GAP BETWEEN RICH AND POOR GLOBALLY, BUT WIDER INEQUALITY WITHIN UNITED STATES**

Globalization has helped [narrow inequality](#) between the poorest and richest people in the world, with the number living in extreme poverty cut [by half](#) since 1990. But within many countries, including the United States, inequality is rising. A [consensus of scholarly work](#) holds that globalization has contributed marginally to rising US wage inequality, putting this factor at 10 to 20 percent. A leading explanation for [rising US inequality \[pdf\]](#) is that technology is reducing demand for certain low- and middle-wage workers and increasing demand for high-skilled, higher-paid workers. Wages have also stagnated, though economists are still debating the exact causes. Countries exposed to globalization have alleviated inequality to different degrees through tax and welfare systems. The United States has [done the least](#) among advanced economies to mobilize government policies to reduce inequality.